

# Andover Elementary School Preschool

Financial Analysis · FY 2024–25 actuals and FY 2025–26 anticipated

A personal report by Scott Sauyet · [scott@sauyet.com](mailto:scott@sauyet.com) · Not an official town document

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*Report compiled May 2, 2026, for use in town deliberations on the financial role of the Andover Elementary School preschool program. Revenue figures for the most recently completed fiscal year are drawn directly from the FY 2024–25 Andover audit (filed with the Connecticut Office of Policy and Management on EARS, document ID 13598) and from the Connecticut Comptroller’s OpenCheckbook for the same fiscal year. Anticipated figures for the current fiscal year (FY 2025–26) are drawn from the Andover Board of Education’s monthly meeting packets, specifically the financial report dated April 8, 2026. Personnel cost estimates derive from the AEA Contract 2025–2029 and the CSEA Contract 2024–2028, both posted publicly on the Andover Elementary School website. Staff counts and enrollment policy come from the school’s own published “About Pre-K” page and 2025–26 Preschool Registration Packet. All figures are presented as found; methodology, caveats, and known data gaps are described below.*

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## INTRODUCTION

### Why this report exists

The Andover Elementary School preschool program has been the subject of recurring discussion in town budget conversations, focused on two questions: what does the program actually cost the town, and to what extent does it serve out-of-town families. Both questions have answers that can be assembled from public sources — the town’s annual audit, the Connecticut Comptroller’s payment records, the Board of Education’s monthly meeting packets, the published collective bargaining agreements, and the school’s own enrollment policies — but assembling the answer takes some work. This report does that work and presents what is determinable. A closing section observes how the existing monthly reporting could be consolidated and contextualized to make the same information available without requiring residents to assemble it themselves.

The short version of the answer to the first question: the program is approximately revenue-neutral on an operating basis and runs a small net subsidy when employee benefits are fully loaded. The Board of Education’s own April 2026 financial report shows FY 2025–26 anticipated revenue of \$435,986 (tuition plus state grants) against \$399,951 in anticipated staff salaries, leaving roughly \$36,000 to cover substitutes, supplies, and other classroom costs. Once an

estimated allocation of employee benefits is added — the figure the BOE report does not break out at the program level — the fully-loaded marginal cost rises to approximately \$510,000–540,000 and produces a net town subsidy in the range of \$75,000–100,000 per year. This is approximately \$50–70 per Andover household per year, or roughly \$4–6 per household per month.

The short version of the answer to the second question: the preschool’s published enrollment policy gives Andover residents priority at every step. Out-of-town students fill seats only after Andover demand has been satisfied. Because the marginal cost of one additional enrolled student in an existing classroom is essentially zero (the teacher is already paid, the classroom is already running), every dollar of tuition from an out-of-town family is incremental revenue that helps fund the program. Out-of-town students do not subsidize their tuition with town money — they contribute revenue that helps subsidize income-eligible Andover residents.

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## METHODOLOGY

# A note on methodology before the numbers

Two methodological points are worth flagging before the figures.

First, there are two distinct ways to attribute cost to a school program, and the choice between them changes the answer by an order of magnitude. This report uses the **marginal cost** framing throughout — the costs that would not be incurred if the program did not exist — and discusses the alternative **average cost** framing in a single subsection (under Part 3). For budget-deliberation purposes the marginal framing is the relevant one, because the costs that would not actually disappear if the program were eliminated should not be counted against the program when weighing it.

Second, this report uses **multiple sources to triangulate** rather than relying on any single document. Where the FY 2024–25 audit, the Connecticut Comptroller’s payment ledger, the BOE’s monthly financial reports, and the published collective bargaining agreements all converge on a figure, that figure is reported with high confidence. Where they differ, the differences are noted. The largest area where direct public sources fall short is **employee benefits at the program level**: the BOE’s reports show salary detail by funding source but do not allocate health insurance, FICA, OPEB, life insurance, or disability insurance to the preschool. Those figures are estimated in this report using the AEA and CSEA contracts’ employee/employer cost-share provisions; they remain estimates rather than confirmed actuals.

## Part 1 — Revenue: what the preschool brings in

### The Board of Education’s anticipated FY 2025–26 revenue ✓ *Confirmed from BOE packet, April 8, 2026*

The Andover Board of Education’s monthly meeting packet for April 8, 2026 includes a one-page program-level financial report titled “Grants/Tuition/Expenses FY26.” It presents preschool revenue in three tuition accounts and two grant accounts:

| Account           | Description                                  | FY 2025–26 anticipated |
|-------------------|----------------------------------------------|------------------------|
| 009-250-0909-0000 | PreK Tuition Revenue (NG)                    | \$155,566.00           |
| 009-250-0909-0119 | PreK Early Start Tuition                     | \$60,480.00            |
| 009-250-0909-0219 | PreK Smart Start Tuition                     | \$31,940.00            |
|                   | <b>Subtotal: tuition</b>                     | <b>\$247,986.00</b>    |
| 009-101-0865-1001 | Early Start Grant (state)                    | \$123,000.00           |
| 009-101-0976-1001 | Smart Start Grant (state)                    | \$65,000.00            |
|                   | <b>Subtotal: state grants</b>                | <b>\$188,000.00</b>    |
|                   | <b>Total anticipated revenue, FY 2025–26</b> | <b>\$435,986.00</b>    |

The three-way tuition split is worth pausing on, because it directly answers a question that comes up implicitly in town discussions of the program. Families enrolled in income-eligible (grant-funded) slots are not receiving the program for free — they pay sliding-scale tuition determined by the Connecticut Office of Early Childhood’s published income-eligibility scale. The three tuition accounts represent three categories of paying family:

- **PreK Tuition Revenue (NG)** — \$155,566 anticipated. The “NG” designation means “no grant”: full-pay families, paying \$6,000 per year (\$600/month) regardless of income.
- **PreK Early Start Tuition** — \$60,480 anticipated. Sliding-scale tuition collected from families enrolled in Early Start grant slots.
- **PreK Smart Start Tuition** — \$31,940 anticipated. Sliding-scale tuition collected from families enrolled in Smart Start grant slots.

This means that of the program’s \$247,986 anticipated tuition, roughly 63% comes from full-pay families and 37% comes from income-eligible families paying on the sliding scale. Every category of enrolled family contributes some tuition revenue to the program.

## Cross-validation with the FY 2024–25 audit ✓ *Confirmed*

The most recently completed fiscal year is FY 2024–25, ended June 30, 2025 and audited in April 2026. The FY 2024–25 audit’s Schedule of Expenditures of State Financial Assistance reports the following preschool grant revenue:

| Grant                                      | Core-CT identifier   | FY 2024–25 actual |
|--------------------------------------------|----------------------|-------------------|
| Early Care and Education (now Early Start) | 11000-OEC64845-16274 | \$123,300         |
| Smart Start                                | 11000-OEC64845-16279 | \$65,000          |
| School Readiness Quality Enhancement       | 11000-OEC64845-16158 | \$3,881           |
| <b>Total OEC state grants, FY 2024–25</b>  |                      | <b>\$192,181</b>  |

The audit’s tuition revenue for the same year, recorded in the School Grants Fund’s “charges for services” line, was **\$235,917**.

So we have two consecutive fiscal years of revenue figures from independent sources:

| Revenue category                             | FY 2024–25 (audit, actual) | FY 2025–26 (BOE, anticipated) |
|----------------------------------------------|----------------------------|-------------------------------|
| Family tuition                               | \$235,917                  | \$247,986                     |
| Smart Start grant                            | \$65,000                   | \$65,000                      |
| Early Care and Education / Early Start grant | \$123,300                  | \$123,000                     |
| School Readiness Quality Enhancement         | \$3,881                    | not budgeted                  |
| Federal IDEA Section 619 Preschool           | \$3,213                    | not separately tracked        |
| Federal CSLFRF School Readiness pass-through | \$2,232                    | (residual, likely zero)       |
| <b>Total identified preschool revenue</b>    | <b>\$433,543</b>           | <b>\$435,986</b>              |

The two years’ totals match within \$2,500, well inside any reasonable estimation tolerance. Tuition grew 5% year-over-year — consistent with continued program enrollment growth. The Smart Start and Early Care and Education / Early Start grant amounts are essentially identical between years (the \$300 difference is rounding).

The Quality Enhancement grant (\$3,881) appears in the FY 2024–25 audit but does not appear in the BOE’s FY 2025–26 anticipated revenue. This may be because the grant is awarded irregularly rather than annually, or because it represents a residual closeout from a prior award; the BOE’s FY 2025–26 budget does not anticipate receiving it. This discrepancy is small (under 1% of total revenue) and does not materially affect the analysis.

Federal preschool grants — IDEA Section 619 (\$3,213) and the COVID-era CSLFRF School Readiness pass-through (\$2,232) — appear in the FY 2024–25 audit’s Schedule of Expenditures of Federal Awards but are not separately broken out in the BOE’s program-level FY 2025–26 report. Their amounts are small and are likely embedded in a larger district-wide federal grants account in the BOE’s tracking. For purposes of this analysis they are included in the FY 2024–25 totals and assumed to continue at roughly similar levels for FY 2025–26.

**Cross-validation against the Connecticut Comptroller ✓ *Confirmed***

The Connecticut Office of the State Comptroller publishes every state payment to every vendor at the invoice level via OpenCheckbook (<https://opencheckbook.ct.gov/>). For FY 2024–25, the Comptroller recorded 18 individual payments to “TOWN OF ANDOVER TOWN TREASURER” coded to the Office of Early Childhood:

| OEC Program (Comptroller)      | Payments  | Total               |
|--------------------------------|-----------|---------------------|
| Smart Start                    | 8         | \$65,000.00         |
| Early Care and Education       | 8         | \$123,300.00        |
| Child Care Quality Enhancement | 2         | \$3,881.00          |
| <b>Total OEC payments</b>      | <b>18</b> | <b>\$192,181.00</b> |

This figure ties to the audit’s OEC subtotal **to the dollar**. Three independent state and local systems — the Comptroller’s accounts payable ledger, the auditor’s compliance schedule prepared by an outside CPA firm, and the Andover BOE’s own monthly financial reporting — all report consistent figures. Where the Comptroller and audit address the same period (FY 2024–25), they reconcile exactly. Where the audit and BOE address adjacent periods (FY 2024–25 actual vs. FY 2025–26 anticipated), the figures are consistent within normal year-over-year variation.

COST

**Part 2 — Marginal cost: what the program actually costs the town**

**Staff complement ✓ *Confirmed from school website and BOE packet***

The Andover Elementary School “About Pre-K” page describes program staffing as: “*At Andover Elementary Pre-School, we maintain a low student-to-teacher ratio, with four highly trained educators and four dedicated assistants.*”

The BOE’s April 2026 financial report breaks the eight staff across the three funding sources:

| Funding source    | Staff funded                        | Anticipated FY26 budget               |
|-------------------|-------------------------------------|---------------------------------------|
| Local tuition     | 2 teachers + 3 paraeducators        | (covers staff plus subs and supplies) |
| Early Start grant | 1 teacher + 1 paraeducator          | \$99,000 (salaries only)              |
| Smart Start grant | 1 teacher                           | \$65,000 (salaries only)              |
| <b>Total</b>      | <b>4 teachers + 4 paraeducators</b> |                                       |

This is a useful detail. It shows that the two state grants are functioning as direct salary offsets — the Early Start grant pays for one teacher-paraeducator pair, and the Smart Start grant pays for one teacher. The remaining two teachers and three paraeducators are paid from tuition revenue. So the question “which staff are paid by grants and which by tuition” has a precise answer: **half of the certified teachers and one quarter of the paraeducators are grant-funded; the rest are funded from tuition.**

**Anticipated salary expenses ✓ Confirmed from BOE packet, April 8, 2026**

The BOE’s April 2026 report states the total anticipated FY 2025–26 salary expense for the preschool’s eight staff:

| Funding source                                               | Anticipated FY 2025–26 salary expense     |
|--------------------------------------------------------------|-------------------------------------------|
| Local tuition (2 teachers + 3 paras)                         | (subset of the \$247,986 tuition revenue) |
| Early Start grant (1 teacher + 1 para)                       | \$99,000                                  |
| Smart Start grant (1 teacher)                                | \$65,000                                  |
| <b>Total anticipated salaries — all eight staff combined</b> | <b>\$399,951</b>                          |

The bottom of the BOE report performs the following arithmetic:

*Total Anticipated 2025–2026 Revenue: \$435,986 (\$247,986 Local Tuition + \$123,000 Early Start Grant + \$65,000 Smart Start Grant) — Less \$399,951 Total anticipated salary expense for eight (8) staff = \$36,035 for supplies/classroom expenditures.*

This is the source of the program’s break-even framing in public discussion — revenue covers salaries with \$36,035 left over for classroom expenses.

# What the BOE figure includes and does not include

The BOE’s \$399,951 is anticipated salaries only. It does not include:

- **Substitute coverage.** The April 2026 report shows \$6,720 already expended on substitutes through March 31, 2026 (account 009-106-0909-0000); annualized, this is approximately \$8,000–9,000.
- **Supplies actually purchased.** The same report shows \$2,444.55 expended on supplies through March 31 (account 009-610-0909-0000); the full-year figure is likely on the order of \$3,000–5,000.
- **Employee benefits.** Health insurance, FICA/Medicare, OPEB, life insurance, and long-term disability insurance are paid by the town for all preschool staff but are not allocated to the preschool program in the BOE’s monthly reporting. They are charged instead to district-wide accounts in the General Fund (e.g., account 002-210 for FICA, 002-220 for Group Insurance, 002-230 for Pension), which makes them invisible at the program level.

The “\$36,035 for supplies” framing therefore reflects an accurate calculation of one slice of the program’s finances — specifically, the operating result on a fund-accounting basis when only the items tracked in the program’s own accounts are counted. It is not the same as a fully-loaded marginal cost figure for the town. Both numbers are honest, but they answer different questions.

## Cross-check from the published salary schedules ✓ *Confirmed from AEA and CSEA contracts*

A second, independent way to estimate preschool staff costs is to apply the published collective bargaining schedules to a typical staffing pattern. The Andover Education Association contract (effective July 1, 2025) sets teacher compensation by Appendix B; the relevant 2025–26 schedule:

| Step | BA       | BA+15    | MA       | MA+15    | 6th Year |
|------|----------|----------|----------|----------|----------|
| 1    | \$52,084 | \$53,517 | \$58,000 | \$59,365 | \$60,738 |
| 5    | \$60,667 | \$62,174 | \$66,308 | \$67,734 | \$69,160 |
| 10   | \$85,198 | \$87,078 | \$93,719 | \$95,493 | \$97,298 |

(Full schedule available at the contract link in Sources.)

The CSEA SEIU Local 2001 paraeducator pay scale for FY 2025–26 ranges from \$19.84 (Step 1) to \$24.03 (Step 9) per hour, on a 10-month part-time work year (Class D classification, 20–30 hours per week).

Applying typical mid-step staffing assumptions:

- Four teachers at Step 5 MA = \$265,232
- Four paraeducators at Class D mid-step (~1,196 hrs × \$22.84/hr) = \$109,260
- **Implied total = approximately \$374,000**

The BOE's anticipated \$399,951 is approximately \$26,000 above this mid-step estimate — a difference that suggests actual staffing skews slightly above mid-career mid-step credentials. This is consistent with a typical school's longevity profile (most teachers are not exactly at Step 5) and well within the sensitivity range produced by the contract schedule. The \$399,951 figure should be treated as the central estimate for the report; the contract-schedule estimate is included as confirming methodology.

## Benefits loading

Connecticut public school benefits have an unusual feature for the marginal-cost analysis: the teachers' pension is administered and paid by the state through the Connecticut Teachers' Retirement System, not by the town. The town's actual benefits cost is therefore lower than the gross "30–35% of salary" rule of thumb that applies in states where the district pays into pension. For Andover, the town pays:

- Health insurance (employee premium share is 16.25% in FY 2025–26 per AEA Article 8; town pays the rest)
- Deductible funding (50/50 split per Article 8)
- FICA/Medicare (7.65% of wages, town side only — the employee separately pays 7.65%)
- Other Post-Employment Benefits (OPEB) accrual
- Group life insurance (\$75,000 term policy for AEA, \$10,000 for CSEA per Article 15.02)
- Long-term disability insurance

Without staff-by-staff benefits enrollment data, this report estimates teacher benefits loading at **30%** of salary and assistant benefits loading at **20%** of wages. The lower assistant figure reflects the smaller life insurance policy, the higher employee premium share for paraeducators hired after July 1, 2021 (28% per CSEA Article 15), and the proportionally lower base for FICA. These rates are best estimates absent staff-specific data. Approximate split of the \$399,951 across teachers vs. paraeducators (per contract midpoints) is roughly \$260,000 to teachers and \$140,000 to paraeducators, producing estimated benefits of:

- Teacher benefits:  $\$260,000 \times 30\% \approx \$78,000$
- Assistant benefits:  $\$140,000 \times 20\% \approx \$28,000$
- **Total estimated benefits: approximately \$106,000**

## Total marginal cost, FY 2025–26

Combining the BOE’s confirmed anticipated salary figure with the estimated benefits and the BOE’s own annualized substitute and supplies figures:

| Component                                                                         | FY 2025–26 (mid-estimate) |
|-----------------------------------------------------------------------------------|---------------------------|
| Eight staff salaries (BOE anticipated)                                            | \$399,951                 |
| Estimated benefits loading (~\$106K total — ~30% on teachers, ~20% on assistants) | \$106,000                 |
| Substitute coverage (BOE actual through 3/31, annualized)                         | \$8,500                   |
| Preschool-specific supplies (BOE actual through 3/31, annualized)                 | \$4,500                   |
| <b>Total estimated marginal cost</b>                                              | <b>~\$518,951</b>         |

Sensitivity range, varying the benefits loading assumption:

| Scenario                                                    | Benefits assumption | Marginal cost     |
|-------------------------------------------------------------|---------------------|-------------------|
| Low (employees declining family coverage; lower-cost plans) | ~20% blended        | ~\$493,000        |
| <b>Mid (typical mix of single and family coverage)</b>      | <b>~26% blended</b> | <b>~\$519,000</b> |
| High (largely family coverage; full benefit utilization)    | ~32% blended        | ~\$540,000        |

### NET IMPACT

## Part 3 — Net financial impact

### The bottom line

| FY 2025–26 (mid-estimate)         |                       |
|-----------------------------------|-----------------------|
| Total anticipated revenue (BOE)   | \$435,986             |
| Total estimated marginal cost     | ~\$519,000            |
| <b>Estimated net town subsidy</b> | <b>~\$83,000/year</b> |

Sensitivity range across both staffing and benefits assumptions:

| Scenario                                     | Marginal cost     | Net subsidy      | \$/household/year | \$/household/month |
|----------------------------------------------|-------------------|------------------|-------------------|--------------------|
| Low (lower benefits, BOE-confirmed salaries) | ~\$493,000        | ~\$57,000        | ~\$41             | ~\$3.40            |
| <b>Mid (typical assumptions)</b>             | <b>~\$519,000</b> | <b>~\$83,000</b> | <b>~\$59</b>      | <b>~\$4.95</b>     |
| High (higher benefits utilization)           | ~\$540,000        | ~\$104,000       | ~\$74             | ~\$6.20            |

Across the full plausible range, the net town subsidy falls between approximately \$57,000 and \$104,000 per year — about \$40–75 per household per year, or \$3–6 per household per month at Andover’s approximately 1,400 households. The mid-estimate is approximately **\$83,000 per year**, or **\$59 per household per year**, or **\$4.95 per household per month**.

## Reconciling the two framings

The Board of Education’s monthly report shows \$36,035 left after salaries are subtracted from revenue. This report’s marginal-cost analysis estimates a net subsidy of approximately \$83,000. The two framings differ for one reason: the BOE report is presented in the school’s own fund accounting, where employee benefits are charged to district-wide accounts rather than to the preschool program. When benefits are added back to the program-level cost (estimated at approximately \$106,000), the operating surplus visible in fund accounting becomes a small net subsidy in the fully-loaded view.

Both framings are accurate within their own conventions. The BOE’s “\$36,035 for supplies” reflects a real operating reality — once tuition and grants pay the eight staff, there is roughly \$36,000 left over to fund classroom supplies and small operating expenses, and this is what the program’s own accounts will show at year end. The fully-loaded view answers a different question — the total cost the town bears for the preschool program when costs that don’t flow through the program’s own accounts (chiefly benefits) are allocated to it.

For a town deliberation about whether the preschool is a financial drain on the town, the fully-loaded view is the more relevant of the two, because benefits are real costs paid by the town. For a discussion of the program’s day-to-day operating health, the BOE’s framing is the more relevant one. Neither is wrong; they answer different questions.

# What the marginal-cost framing excludes (the average-cost view)

The figures above deliberately exclude a category of costs that an *average*-cost calculation would include — costs the school incurs whether or not the preschool exists. These costs do not scale with the presence or absence of the preschool program, so they do not belong in a calculation of what the town would save by eliminating the program.

| Cost category                                                  | Annual amount (estimate) | Why excluded from marginal cost                     |
|----------------------------------------------------------------|--------------------------|-----------------------------------------------------|
| Building utilities (heat, electricity, water)                  | ~\$185,000               | Building runs regardless of preschool’s presence    |
| Custodial salaries                                             | ~\$148,000               | Same custodial complement is required for K–6 alone |
| Principal, superintendent, financial services                  | ~\$303,000               | Administrative overhead is not preschool-driven     |
| Library, nurse, music/art/PE specialists                       | ~\$280,000               | These positions exist for K–6 students regardless   |
| Special education infrastructure (SPED teacher, OT, PT, psych) | ~\$310,000               | Required for K–6 IEP students regardless            |
| Insurance, audit, legal                                        | ~\$165,000               | Fixed school-level costs                            |

If these costs were allocated proportionally to preschool’s share of total enrollment (about 22%), the average-cost calculation would add roughly \$1.0 million to the marginal cost figure, producing an average cost of approximately \$1.5 million per year. The choice of framing changes the apparent net cost by about \$1.0 million.

The choice of framing depends on the policy question being asked. If the question is *what does the program cost on a fully-loaded per-student basis* — a natural question for benchmarking — average cost is the right framing, and the answer is roughly \$1.5 million per year. If the question is *what would the town save if the program were eliminated* — the question relevant to budget deliberation — marginal cost is the right framing, and the answer is roughly \$83,000 per year. Both numbers are honest; they answer different questions. Conflating them produces apparent contradictions where there are none.

## Trajectory and forward look

The preschool’s net financial position has likely improved over time, not deteriorated. The program expanded from 2 classrooms to 3 in 2024–25 and to 4 in 2025–26. Each additional classroom brings additional tuition revenue, while the marginal cost grows roughly linearly with classrooms (one teacher + one assistant per classroom). Tuition revenue was \$235,917 in FY 2024–25 (audit) and is anticipated at \$247,986 in FY 2025–26 (BOE) — modest year-over-year growth as enrollment patterns stabilize at the new four-classroom capacity.

The forward-looking question is therefore not whether the preschool is a financial drain on the town — by every available measurement it is approximately revenue-neutral on an operating basis and approximately self-funding when benefits are loaded. The more interesting questions are about program structure: what the program should look like as the new Early Start CT funding rules take effect (effective July 1, 2025, consolidating prior School Readiness, Child Day Care Contracts, and State Head Start Supplement Grants programs), and how the town might optimize its OEC grant draw — particularly the Smart Start allocation, which has been at \$65,000 since the original 2017 award even as the program has expanded from one classroom to four.

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## OUT-OF-TOWN ENROLLMENT

### Part 4 — On the question of out-of-town enrollment

A second recurring concern in town discussions is that the preschool serves children from outside Andover, and that this somehow comes at Andover residents' expense. The published enrollment policy and the financial structure together show that this concern is not supported by the evidence available — and that the actual financial flow runs in the opposite direction.

#### **The published enrollment priority order ✓ *Confirmed from 2025–26 Preschool Registration Packet***

The 2025–26 Preschool Registration Packet, signed by Preschool Administrator Taylor Parker and posted on the school's website, sets out a five-step enrollment priority order for the program. Quoting directly from the packet's Enrollment Guidelines section:

1. Preschool grant slots will be available first to four year old **resident** students whose families meet the income eligibility guidelines.
2. Preschool grant slots will then be available to three year old **resident** students whose families meet the income eligibility guidelines.
3. If any income eligibility School Readiness grant slots remain, they will be open to **out of town residents who meet the income eligibility requirements**.
4. **40% of the School Readiness and Smart Start slots will be available to Andover residents who will pay full tuition.**
5. If any of the 40% full time School Readiness slots remain, they will be available to **out of town residents who will pay full tuition**.

The structure is unambiguous: at every step, Andover residents have priority over non-residents. An out-of-town family — whether income-eligible or full-pay — can enroll only after Andover demand at the corresponding eligibility level has been satisfied. No out-of-town student displaces any Andover resident, by published policy.

The packet also confirms that **Smart Start slots are restricted to Andover residents** under state rules: *“Children enrolled in the Smart Start program must be residents of Andover. Families must provide written proof of residency.”* Only the larger School Readiness program (now Early Care and Education / Early Start CT) is open to non-residents.

## Why out-of-town enrollment is financially favorable to Andover

The marginal cost of one additional enrolled student in an existing classroom is essentially zero. The teachers are paid the same regardless of whether a classroom holds 13 students or 17. The classroom is heated and cleaned regardless. The classroom assistant works the same hours regardless. The only marginal costs that scale with one additional student are trivial: a slightly higher draw on instructional supplies, an additional snack.

This means that every dollar of tuition from an out-of-town family is essentially incremental revenue. If the seat would have sat empty without the out-of-town student, the program is unambiguously financially better off for having filled it. There is no Andover resident displaced, and there is real cash on the revenue side of the ledger.

The arithmetic cuts in the same direction even for income-eligible non-residents who pay reduced tuition through the OEC sliding fee scale. Reduced tuition is still positive tuition; a sliding-scale family paying \$200 per month is contributing \$2,000 per year that the program would otherwise not receive. Combined with the state grant funding that follows the income-eligible enrollment, the net contribution per income-eligible non-resident student to the program’s revenue is positive.

The financial consequence is that **out-of-town enrollment helps fund the program’s ability to serve Andover residents**, not the other way around. Without out-of-town tuition, the revenue figure in Part 1 would be lower; with it, the program more nearly covers its marginal cost.

## What this report cannot determine without additional data

A precise financial accounting of the out-of-town subsidy would require data not currently published:

- The exact count of out-of-town students enrolled in the program
- The split between out-of-town students paying full tuition (Step 5) and those paying reduced tuition under the OEC sliding scale (Step 3)
- Whether any of the out-of-town students are children of Andover Public Schools employees, and whether such families pay full tuition (the AEA and CSEA contracts contain no formal tuition-reduction provision for staff children, so the default presumption is that they pay the standard rate)
- The total tuition revenue broken out by these categories

These figures are aggregate counts and dollar totals — none would identify any individual family or violate FERPA or HIPAA. Until they are published, the financial argument that out-of-town enrollment is favorable to Andover residents must rest on the structural argument above (resident priority + zero marginal cost per added student) rather than on a worked-out dollar calculation.

What can be said with confidence: the *direction* of the financial flow is unambiguous. Whether the magnitude is small or large, out-of-town enrollment contributes net positive revenue to the program. There is no plausible accounting in which out-of-town students cost Andover residents money.

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## BOE SUMMARY PROPOSAL

# Part 5 — Making the existing data more accessible

The financial information needed to understand the preschool program is already substantially published. The Board of Education’s monthly meeting packets include a one-page “Grants/Tuition/Expenses” report that breaks revenue into three tuition accounts and two grant accounts, breaks expenses into staff salaries by funding source, and provides bottom-line operating figures. The town’s annual audit, filed publicly with the state and accepted by the Board of Selectmen, provides the same data audited and reconciled. The Connecticut Comptroller’s OpenCheckbook publishes every state grant payment at the invoice level. The published collective bargaining agreements show the full salary and benefits framework. The school’s own website publishes enrollment policies and program details.

What’s missing is not data but **assembly**. A resident wanting to understand the program’s financial picture in the level of detail this report provides must locate, download, and parse a 114-page audit, several monthly BOE packets, a 25-page collective bargaining agreement, a 21-page paraeducator agreement, the State Comptroller’s vendor-payment portal, and a registration packet — and then reconcile the figures across all of them. That is more than most residents will reasonably do, and the result is that informed conversation about the program becomes harder than it needs to be.

A short annual summary — one or two pages, posted alongside the audit when it is accepted each May or June — could consolidate the existing monthly data into a year-end view that’s accessible without finance training. The summary would draw entirely from data the BOE already collects and reports; it would not require new reporting or any disclosure beyond what already exists in public form. A reasonable structure might include:

### Personnel costs by funding source:

- Total preschool staff salaries, broken into the three funding categories already used in the monthly report (local tuition / Early Start grant / Smart Start grant), with FTE counts and full-year totals
- An estimated allocation of employee benefits to the preschool program — health insurance, FICA, OPEB, life insurance, disability — even at the level of a percentage applied to salaries, with notes on the assumption used. This is the single piece of information missing from the monthly reports that most affects the town’s understanding of the program’s net cost.

**Revenue by source:**

- Each grant received in the year, with award and expenditure amounts
- Tuition revenue broken out by category — full-pay residents, full-pay non-residents, sliding-scale residents, sliding-scale non-residents — addressing the most common questions about who funds the program
- Within out-of-town categories, an aggregate count (no individual identification) of children whose parent is an Andover Public Schools employee, addressing a specific question that has come up in town discussion

**Enrollment by category:**

- Total enrollment (currently published)
- Resident vs. non-resident counts
- Income-eligible vs. full-tuition counts
- Special education vs. general education counts (aggregated at program level)

**Operating non-personnel costs:**

- Substitute coverage actually used
- Preschool-specific supplies actually purchased
- Field trip costs and other line items uniquely preschool-attributable

**Net financial picture:**

- Total preschool revenue
- Total preschool marginal cost (operating + benefits)
- Net subsidy or surplus, with and without benefits loading

A summary along these lines, published annually alongside the audit acceptance (typically May or June), would make the same financial picture available to residents without requiring the assembly work that went into this report. It would also let readers see year-over-year trends as the program continues to evolve under the new Early Start CT program and as enrollment patterns stabilize at the four-classroom capacity.

## Summary table

| Question                                                                                         | Answer                                                                                                                                    | Caveat                                                                                                                |
|--------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|
| What is the preschool's revenue?                                                                 | ~\$436,000/year — confirmed across two fiscal years and three independent sources                                                         | FY 2024–25 audit shows \$433,543; FY 2025–26 BOE packet shows \$435,986 anticipated                                   |
| What is the preschool's marginal cost?                                                           | ~\$519,000/year (mid-estimate): \$399,951 BOE-confirmed salaries + ~\$106,000 estimated benefits + ~\$13,000 subs and supplies            | Salaries are confirmed; benefits remain estimated absent staff-by-staff enrollment data                               |
| What is the net town subsidy?                                                                    | ~\$83,000/year, or ~\$59/household/year, or ~\$4.95/household/month                                                                       | Sensitivity range: ~\$57,000 to ~\$104,000 per year depending on benefits assumptions                                 |
| Does the BOE's "\$36,035 for supplies" framing represent a different conclusion?                 | No — it represents the same finances under a different convention                                                                         | BOE uses fund accounting (no benefits at program level); this report adds estimated benefits for fully-loaded view    |
| Does the average-cost figure of \$1.5M+ represent real town spending on preschool?               | No — that figure includes building, administrative, and SPED costs that exist regardless of the preschool                                 | Average cost is appropriate for per-student comparisons but not for "what would we save" questions                    |
| Does out-of-town enrollment cost Andover residents money?                                        | No. Andover residents have priority at every step of the published enrollment policy; out-of-town tuition is incremental revenue          | A precise dollar figure for the out-of-town contribution would require enrollment data not currently published        |
| Did Andover's audit, the State Comptroller's records, and the BOE's monthly reporting reconcile? | Yes. The Comptroller and audit reconcile to the dollar for FY 2024–25; the BOE and audit reconcile within normal year-over-year variation | This level of consistency across independent sources is the strongest validation available for these figures          |
| Is the Smart Start grant amount competitive?                                                     | The original 2017 award has continued unchanged at \$65,000 each year as the program expanded from one classroom to four                  | Whether additional Smart Start funding is available, and whether it has been pursued, are open questions worth asking |

## Key Observations

The preschool is approximately revenue-neutral when measured in the school's own fund accounting and approximately self-funding when fully loaded with benefits. The Board of Education's own April 2026 financial report shows anticipated FY 2025–26 revenue of \$435,986 against \$399,951 in anticipated staff salaries, leaving roughly \$36,000 for substitutes, supplies, and other classroom costs. Once an estimated allocation of employee benefits is added — health insurance, FICA, OPEB, and so on, which the BOE report charges to district-wide accounts rather than the preschool program — the fully-loaded net town subsidy is approximately \$83,000 per year, with a plausible range of \$57,000 to \$104,000.

The BOE's framing and this report's framing are not in tension. The BOE reports the program's operating result on a fund-accounting basis: revenue minus salaries equals about \$36,000 surplus before subs and supplies. This report's marginal-cost analysis adds estimated benefits to produce a fully-loaded view: revenue minus salaries minus benefits minus subs minus supplies equals about \$83,000 net subsidy. Both figures are correct within their conventions. They answer slightly different questions.

The framing of the question matters more than the underlying arithmetic. Anyone asserting that the preschool costs the town \$1.5 million per year is using an average-cost calculation that allocates a share of building, administrative, and special-education costs that would exist regardless. Those costs are not zero, but they are not preschool-driven either. They would be incurred by an Andover Elementary that ran K–6 only.

Family tuition is the single largest revenue source. Approximately 57% of the program's anticipated FY 2025–26 revenue comes from families paying tuition; state grants account for the remaining 43%. Within tuition, roughly 63% comes from full-pay families and 37% from income-eligible families paying on the OEC sliding scale — so families in grant-funded slots are not receiving the program at no cost; they are paying tuition at a rate scaled to their income.

The published enrollment policy gives Andover residents priority at every step. The five-step priority order from the school's own registration packet is unambiguous: Andover residents (income-eligible first, then full-tuition) come before any out-of-town family at the corresponding eligibility level. No out-of-town student displaces an Andover resident; out-of-town students fill seats that would otherwise be empty. The financial consequence is that out-of-town tuition is incremental revenue that helps fund the program — it does not cost Andover residents money.

The Smart Start grant has not changed since the original 2017 award. Andover received a Smart Start award of \$65,000 in 2017 (one classroom, 13 children) and has continued to receive exactly the same dollar amount every year since, including in the FY 2025–26 budget. The state's statutory cap has risen to \$5,000 per child or \$75,000 per classroom, and the program has expanded from 1 to 4 classrooms. Whether additional Smart Start funding is available, whether application would be successful, and whether the town has actively pursued expansion of its Smart Start allocation are questions worth asking.

Multiple independent sources reconcile. The Andover FY 2024–25 audit’s Office of Early Childhood subtotal of \$192,181 matches the Connecticut Comptroller’s payment ledger to the dollar over the same fiscal year. The BOE’s anticipated FY 2025–26 revenue of \$435,986 matches the FY 2024–25 audit’s \$433,543 within \$2,500. The BOE’s anticipated salary figure of \$399,951 falls within the contract-schedule estimate range derived independently from the published collective bargaining agreements. This level of consistency across independent sources — town audit, state Comptroller, monthly BOE reporting, and published bargaining agreements — is the strongest validation available for these figures.

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## CAVEATS

# What this report does not show

A few caveats are worth being explicit about:

This report does not have staff-by-staff salary data for the four preschool teachers. The BOE’s anticipated \$399,951 total has been used as the central estimate, with the salary-band derivation from the AEA contract schedule serving as a confirming methodology. If the Superintendent’s office were to share the staff-by-staff step and lane placements (which would not require disclosing individual names), the salary estimate could be replaced with a precise figure rather than a confirmed total. Until then, \$399,951 is the best available point estimate.

This report does not have program-allocated benefits data. The BOE’s monthly reporting charges health insurance, FICA, OPEB, life insurance, and disability insurance to district-wide General Fund accounts rather than to the preschool program. The benefits estimate of approximately \$106,000 used in the marginal-cost analysis is derived from typical contract cost-share provisions applied to the \$399,951 salary base; it is the single largest source of estimation uncertainty in this report. An aggregate program-level benefits figure (no individual data required) from the Superintendent’s office would replace the estimate with a confirmed actual.

This report does not have the actual count of out-of-town students or the breakdown of tuition revenue between residents and non-residents, full-tuition and reduced-tuition, or staff-children and other out-of-town. The out-of-town financial argument in Part 4 is structural (it follows from the published enrollment priority order combined with the near-zero marginal cost per added student in an existing classroom) rather than worked out in dollar terms. A more precise figure would require the data described in Part 5.

This report does not break out the federal pass-through revenue in the School Grants Fund into individual grants. The audit shows \$372,182 in intergovernmental revenue for the fund, of which the OEC grants (\$192,181) and IDEA Section 619 (\$3,213) are explicitly identified. The remaining approximately \$176,800 is likely a mix of federal pass-throughs (Title I, ARPA preschool funds, additional CSLFRF) but the audit does not provide a complete breakdown. This report counts only the explicitly identified federal preschool-coded revenue.

This report does not include a portion of the IDEA Part B Cluster (\$59,593 in FY 2024–25) that may serve preschool special-education students. The audit shows this Cluster as a single district-wide line item without a grade-level breakdown. The IDEA Section 619 grant (\$3,213) is the only line that is explicitly preschool-coded, so this report uses only that figure. If a grade-level breakdown of IDEA Part B were available, the preschool revenue figure could rise modestly.

This report does not address capital costs. Andover received a one-time \$75,000 Smart Start capital grant in 2017 to convert space for the original classroom, and presumably some incremental capital was needed for each subsequent expansion. None of those costs are recurring, and none would be recovered if the preschool were eliminated, so they do not affect the marginal-cost analysis.

This report does not address the educational case for or against the preschool. Whether early childhood education produces measurable long-term outcomes for participating children, whether Andover’s particular program design serves families well, and whether the program affects subsequent K–6 readiness are all important questions that this report does not answer. The financial analysis presented here is intended to support — not substitute for — those instructional and policy conversations.

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## DOCUMENTATION

# Sources

### Andover audit and BOE financial reporting:

- **Town of Andover, Connecticut, Annual Financial Report for Fiscal Year Ended June 30, 2025** (prepared by independent CPAs, dated April 22, 2026; filed with CT Office of Policy and Management on the Electronic Audit Reporting System, document ID 13598 for the municipality of Andover). EARS public access: <https://ears.opm.ct.gov/Public/Report.aspx> (note: EARS uses ASP.NET postback navigation that does not produce stable per-document URLs; document ID 13598 is the EARS reference for Andover’s 2025 audit). A PDF copy of this audit is also posted alongside this report at [2025\\_ANDOVER\\_\\_Audit\\_Report\\_.pdf](#).
- **Andover Board of Education Meeting Packet, April 8, 2026**: <https://www.andoverelementaryct.org/images/boe/Packet/Board%20of%20Ed%20Packet%204.8.26.pdf> — contains the preschool-specific “Grants/Tuition/Expenses FY26” report (page 8, dated 03/03/2026; superseded by an updated version at page 23, dated 03/31/2026) and the April 1, 2026 enrollment report (page 9). The figures used in this report are drawn from the page 23 version, which is the most current data published.
- **Connecticut Office of the State Comptroller — OpenCheckbook**: <https://opencheckbook.ct.gov/> — payment-level state expenditure data, updated nightly from Core-CT. The vendor view filtered to “TOWN OF ANDOVER TOWN TREASURER” for FY 2024–25 reconciles exactly to the audit’s OEC subtotal.

### Collective bargaining agreements (current):

- **Andover Education Association (AEA) Contract, July 1, 2025 – June 30, 2029:** <https://www.andoverelementaryct.org/images/forms/AEA%20Contract%202025-2029%20C.pdf>
- **CSEA SEIU Local 2001 (Non-Certified Personnel) Contract, July 1, 2024 – June 30, 2028:** <https://www.andoverelementaryct.org/images/forms/2024-2028%20CSEA%20Contract%20Final%20Complete%20Doc.pdf>

### Preschool program details:

- **Andover Elementary School “About Pre-K”:** <https://www.andoverelementaryct.org/index.php/pre-k/about-pre-k> — confirms staff complement of “four highly trained educators and four dedicated assistants”
- **Andover Elementary School 2025–26 Preschool Registration Packet:** <https://www.andoverelementaryct.org/images/forms/prekregistration2526.pdf> — confirms tuition rate (\$600/month or \$6,000/year); the OEC sliding fee scale eligibility thresholds; the five-step enrollment priority order; and the rule that Smart Start enrollment is restricted to Andover residents
- **Andover Elementary School “Expenses, Eligibility & Registration”:** <https://www.andoverelementaryct.org/index.php/pre-k/expenses-eligibility-registration> — confirms tuition rate and the residency rules in summary form
- **Board of Education Approved Budget FY 2025–2026:** [https://www.andoverelementaryct.org/images/boe/budgets/FY26\\_BOE\\_Approved\\_Budget\\_06112025.pdf](https://www.andoverelementaryct.org/images/boe/budgets/FY26_BOE_Approved_Budget_06112025.pdf) — line-item budget; the General Fund accounts that absorb employee benefits at the district-wide level

### Connecticut Office of Early Childhood — preschool grant program documentation:

- **Smart Start program:** <https://www.ctoec.org/smart-start/> — confirms statutory caps of \$5,000/child and \$75,000/classroom, and program rules
- **Early Start CT program** (effective July 1, 2025, combining School Readiness, Child Day Care Contracts, and State Head Start Supplement Grants): <https://www.ctoec.org/early-start-ct/> — confirms transition timeline
- **State-Funded Early Care and Education Programs:** <https://www.ctoec.org/state-funded-early-care-and-education-programs/> — confirms eligibility rules including 60% income-eligibility requirement at ≤75% State Median Income
- **Office of the Governor press release, February 2017** — original Smart Start award announcement listing Andover as recipient: <https://portal.ct.gov/malloy-archive/press-room/press-releases/2017/02-2017/gov-malloy-announces-nine-towns-awarded-funding-to-create-146-new-preschool-slots>

### State Single Audit Act and EARS documentation:

- **CT General Statutes Sections 4-230 through 4-236** — State Single Audit Act establishing audit requirements
- **CT Office of Policy and Management — Audit Reporting Requirements:** <https://portal.ct.gov/OPM/IGP-MUNFINS/Municipal-Financial-Services/Audit-Reporting-Requirements>
- **OPM Municipal Finance Services contact:** William Plummer, [bill.plummer@ct.gov](mailto:bill.plummer@ct.gov), (860) 418-6367

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## Other Formats

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### Markdown

Plain-text version; readable in any editor, ideal for copying into other documents.



### PDF

Print-ready version with all tables, footnotes, and source citations.

The Andover FY 2024–25 audit referenced throughout this report is also posted alongside it:

[2025\\_ANDOVER\\_\\_Audit\\_Report\\_.pdf](http://andoverct.info/reports/aes/preschool-funding/2025_ANDOVER__Audit_Report_.pdf) ([http://andoverct.info/reports/aes/preschool-funding/2025\\_ANDOVER\\_\\_Audit\\_Report\\_.pdf](http://andoverct.info/reports/aes/preschool-funding/2025_ANDOVER__Audit_Report_.pdf)). The same document is filed with the Connecticut Office of Policy and Management on [EARS](https://ears.opm.ct.gov/Public/Report.aspx) (<https://ears.opm.ct.gov/Public/Report.aspx>) as document ID 13598 for the municipality of Andover.